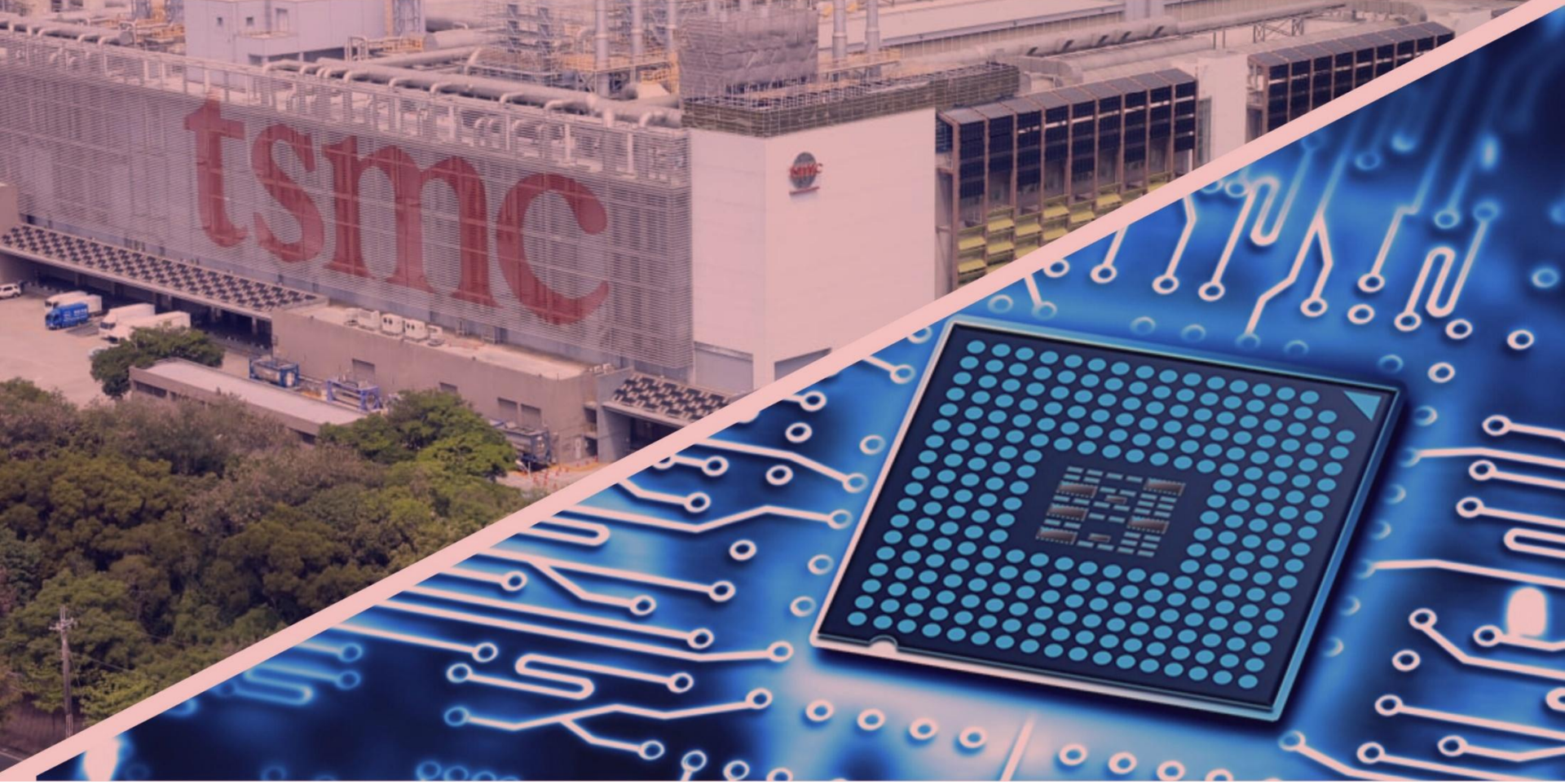


Taiwan Semiconductor Manufacturing Company ($TSM) - BUY

Interview Presentation to the WF Recruiters

November 5th, 2025

Interview Pitch Team

Interviewing for the Position of Associate

Paulo Aguiar

Sophomore, Computer Science and Finance

CWRU Journal of Economics

extern

Table Of Contents

A. Company Overview

B. Investment Considerations

C. Risks to Thesis

D. Valuation & Recommendation

A. Company Overview

Company Overview

Taiwan Semiconductor Manufacturing Company ("TSMC") is a leading semiconductor foundry that manufactures advanced chips powering computing, communications, and consumer technologies.

Investment Thesis

TSMC is the world's leading semiconductor foundry, manufacturing advanced chips that power AI, smartphones, data centers, and automotive technologies. With customers like Apple, NVIDIA, and AMD, the company benefits from strong, recurring demand and long-term partnerships. Its leadership in next-generation nodes such as 2nm and strategic global expansion strengthen both its innovation edge and supply-chain resilience. Supported by rising AI-driven demand and strong financial growth, we believe now is the right time to own TSMC.

Key Highlights

$115Bn
(TTM Revenue 2025)

$1.5Tn
(Market Cap)

~54%
(Gross Margin 2024)

1987
(Company Founded)

>90%
(Global Market Share in Advanced Nodes)

>500
(Corporate and industrial customers)

Financial Overview

USD	FY2021	FY2022	FY2023	FY2024	FY2025E	CAGR
Revenue	**56.805.808**	**76.042.870**	**69.401.940**	**90.191.901**	**117.429.855**	**20%**
Growth % YoY	--	*33,9%*	*-8,7%*	*30,0%*	*30,2%*	
Gross Profit	**29.327.226**	**45.290.500**	**37.726.606**	**50.617.818**	**67.522.167**	**23%**
Margin %	*51,6%*	*59,6%*	*54,4%*	*56,1%*	*57,5%*	
EBITDA	**38.831.713**	**52.757.419**	**46.976.052**	**62.071.813**	**77.738.564**	**19%**
Margin %	*68,4%*	*69,4%*	*67,7%*	*68,8%*	*66,2%*	
Net Income	**21.216.293**	**33.364.226**	**27.322.013**	**36.070.554**	**47.793.951**	**23%**
Margin %	*37,3%*	*43,9%*	*39,4%*	*40,0%*	*40,7%*	

Sources: Company Reports, Bloomberg

Company Management

TSMC's management team boasts world-class technical and financial experience.

Dr. C.C. Wei
Chairman and CEO

- Member on board of directors
- Extensive leadership experience across operations, business development and technology strategy
- Recognized as one of TIME's 100 Most Influential People in AI (2024) for TSMC's role in powering advanced AI systems
- Ph.D. in Electrical Engineering from Yale University

Y.P. Chen
Executive VP and Co-COO

- Oversees fab operations and global manufacturing management
- Known for deep operational expertise in scaling advanced semiconductor fabs
- B.S. and M.S. in Electrical Engineering from National Cheng Kung University

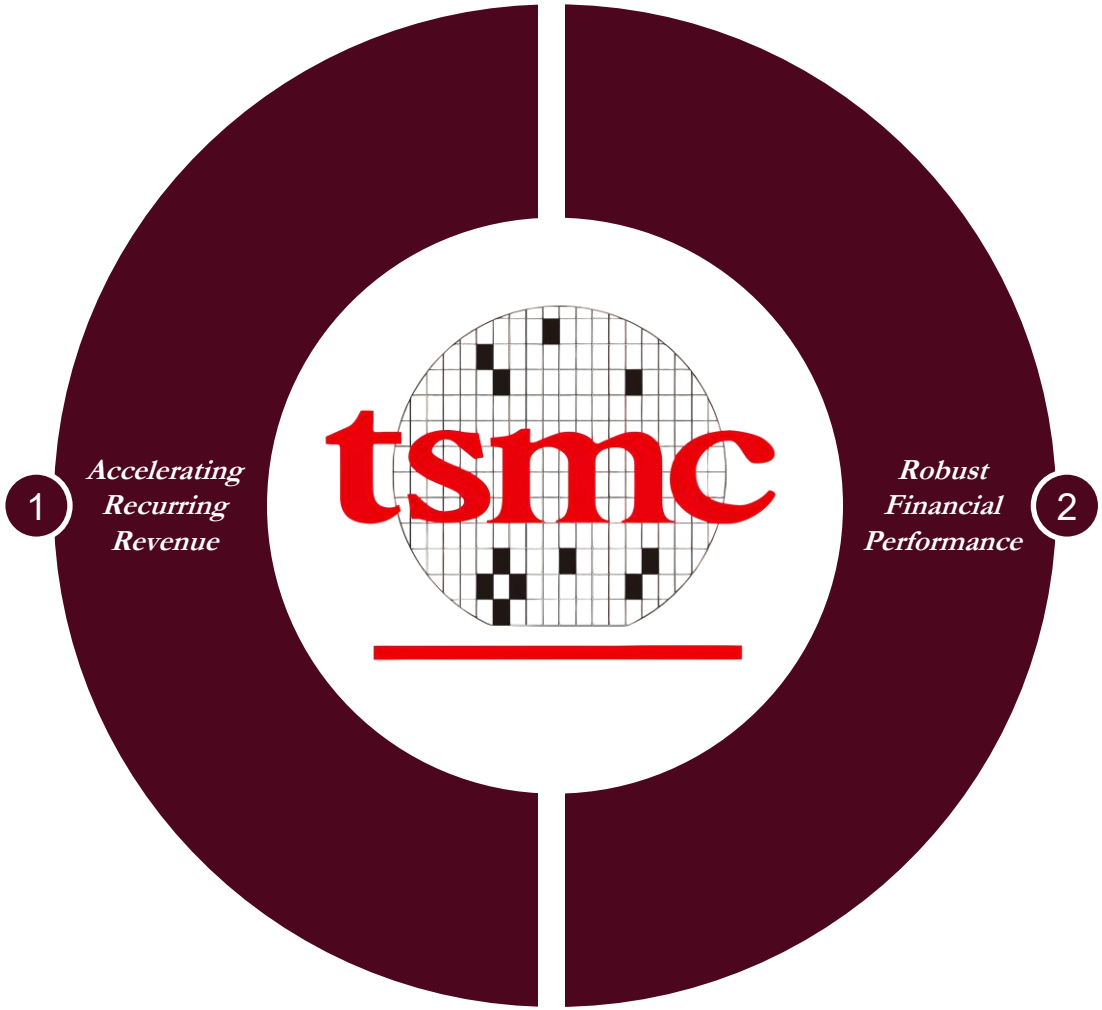
Dr. Y.J. Mii
Executive VP and Co-COO

- Previously worked at IBM Research
- Instrumental in maintaining TSMC's global technology leadership in cutting-edge nodes
- At TSMC since 1994, with major contributions to all new generations of advanced technology, including the 28nm, 16nm and 7nm.
- M.S. and Ph.D. in Electrical Engineering from UCLA

Sources: Company Reports

B. Investment Considerations

Investment Considerations



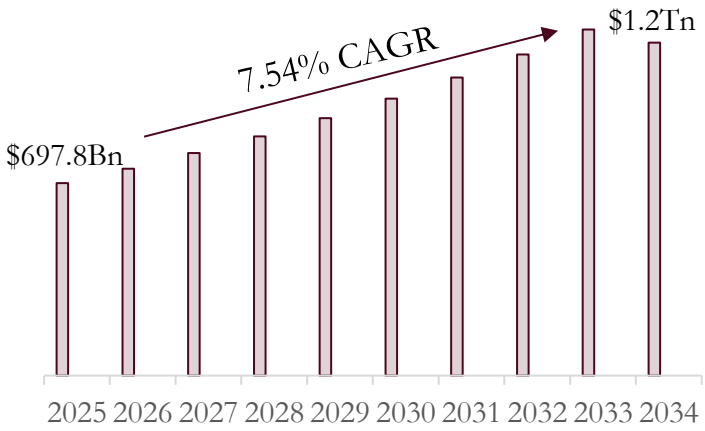
Accelerating Recurring Revenue

TSMC provides an array of advanced packaging, testing, and specialty technology services to complement its wafer fabrication, creating a full-stack semiconductor platform that deepens customer reliance and enhances recurring revenue.

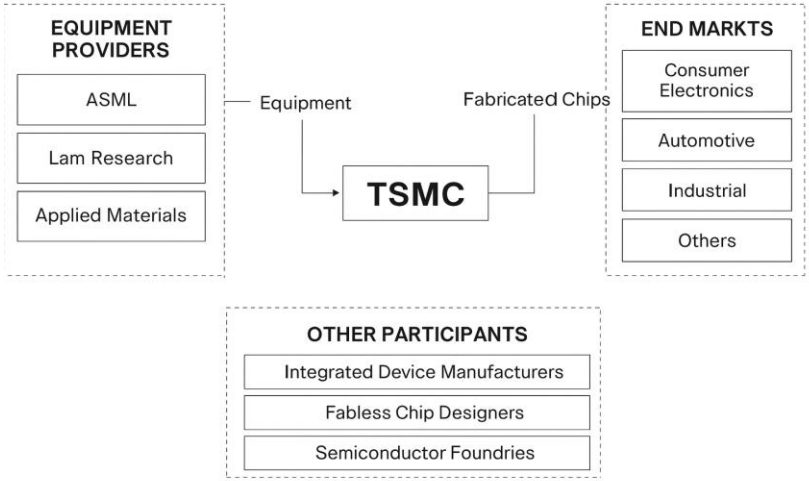
Secular Revenue Steam

- Wafer fabrication services remain ~90-92% of revenue, but **advanced packaging & testing (~8%)** is the fastest-growing stream.
- Advanced nodes (7nm and below) technology now contribute **~68% of wafer revenue,** with AI/HPC demand driving growth.
- Specialty technologies (automotive, RF, IoT) add ~1-2% and diversify the base.
- Apple and NVIDIA are anchor customers, with the A and M series chips, and the AI accelerators, holding long-term supply agreements

Industry Growth Potential



Business Model/Process



Industry Leading

- TSMC is the leading innovator to produce 3nm technology in volume, ramping 2nm in 2025 and 1.6nm by 2026.
- TSMC presents a high customer stickiness, as once a chip is designed for TSMC's process, migration switching costs are high and time-consuming
- $42B investment in 2025 across Taiwan, U.S., Japan and Germany to meet AI/5G demand
- Dividend yield of ~1.5-2% and a consistent payout growth

Sources: Company Reports, Bloomberg

Robust Financial Performance

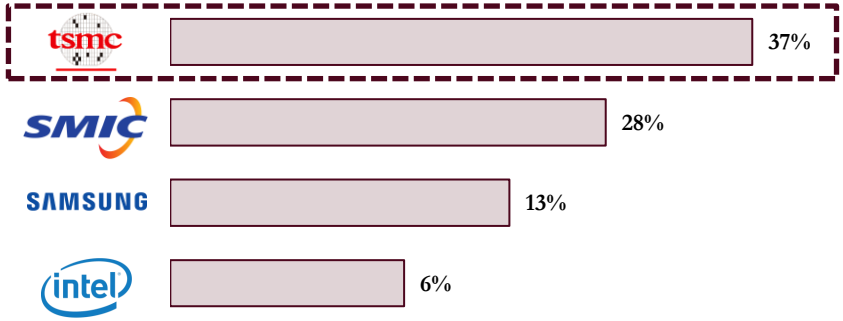
TSMC's competitive moat supports industry leading financial performance

A Cut Above the Rest

- TSMC has displayed dominant financial performance despite pressures from an increasingly competitive landscape
- TSMC's sales grew >37% year-over-year, significantly outpacing global semiconductor peers, supported by surging AI and high-performance computing demand and underpinned by management's disciplined execution in scaling advanced node capacity and packaging services.
- The company has managed to keep high metrics of profitability, with a gross margin of ~55%, and a net margin of >40%.
- A market share of 60% of the global foundry, with 90% in advanced nodes (7nm and below).

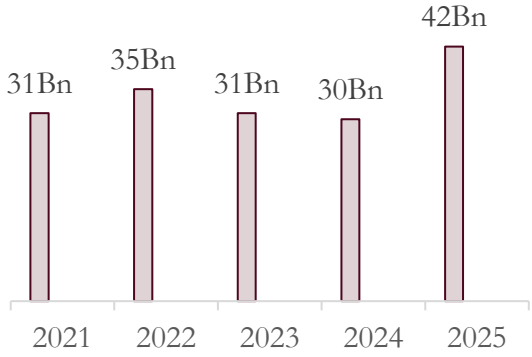
Outpacing Competitors

(TTM Sales Growth)



Capacity Expansion & CapEx Discipline

TSMC has been raising up their capital expenditures, especially in the year of 2025, keeping up the ability to scale with AI demand while maintaining high returns on invested capital.



Sources: Company Reports, Bloomberg

C. Threats to Thesis

Macroeconomic & Competitive Risk

TSMC faces pressures from macroeconomic headwinds and an evolving competitive landscape

Macroeconomic Risks

Supply Chain Challenges	Subtracts shortages and rising costs for raw materials and energy are a bottleneck for AI chips manufacturing
Currency headwinds	Strong $NT vs. USD can pressure margins and reduce reported revenue
Global Demand Cycles	The demand for smartphones and PC has softened, however that has been offset by the AI/HPC boom

Competitive Landscape

- Samsung Foundry has been working aggressively on 3nm GAA technology.
- Intel Foundry Services have also been getting developed, backed by U.S. subsidies, targeting hyperscalers.
- However, TSMC's unmatched leadership in advanced process technology, combined with its deep integration into customers' design cycles and ability to deliver consistently high yields, sustains long-term customer partnerships and supports industry-leading gross margins, mitigating the impact of intensifying global competition.

Geopolitical Risks

- The heavily concentration in Taiwan (>90% of advanced capacity) exposes the company to U.S.-China tensions
- U.S. Tariffs, as a 32% duty on Taiwan exports was announced in 2025
- Labor shortages and regulatory issues have delayed and pushed the production ramp of the Arizona Fab to 2026
- With the incoming expansion of SMIC into mature nodes, supported by state subsidies, China presents heavy competition

Raw Material Volatility

Rising Raw Material Costs

Neon	Electricity	Copper
18% YoY increase in neon prices (and other rare gases)	**8%** YoY increase in electricity prices in Taiwan	**27%** YoY increase in copper prices

Sources: Company Reports, Bloomberg

D. Valuation & Recommendation

Stock Performance

Key Events

January 2024

- TSMC reports record Q4 2023 earnings, driven by strong AI chip demand. Stock closes up ~8% on results

July 2024

- Announces Arizona fab constructions delays due to labor and equipment shortages. Shares dip ~6% on concerns about US expansion costs

October 2024

- 3nm production ramps successfully, with Apple and Nvidia as anchor customers. Stock rises ~10% on optimism around advanced node leadership

February 2025

- Q4 2024 results beat expectations: Revenue up 26% YoY, EPS up 30%. Stock closes at ~$241, extending a strong rally

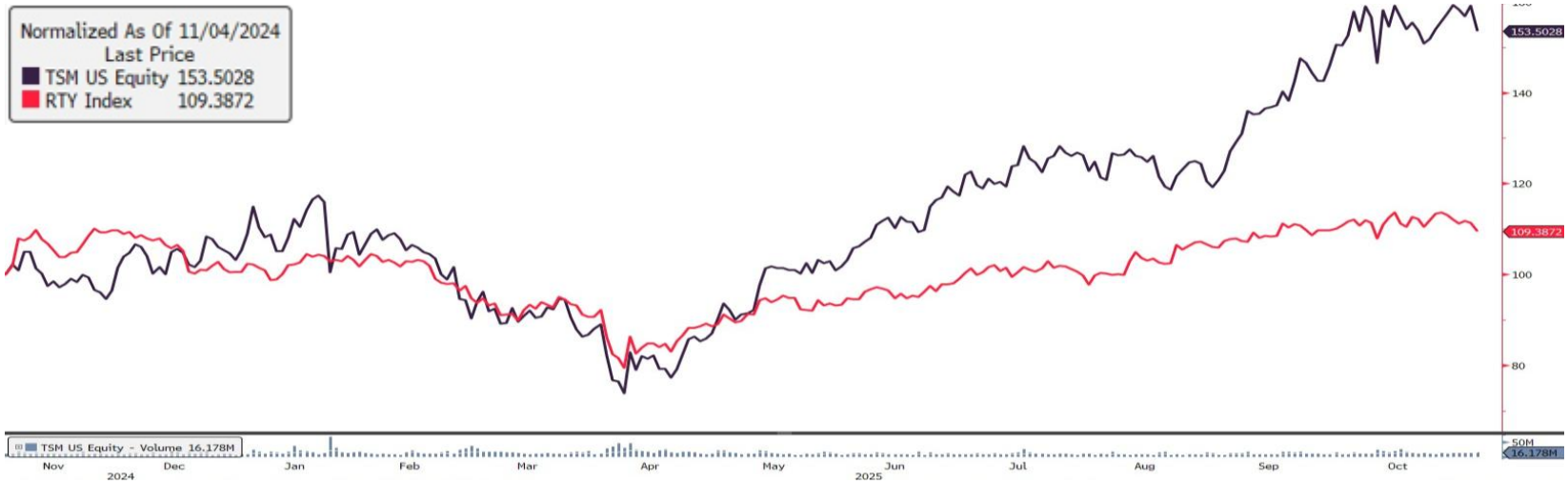
July 2025

- Q2 2025 results smash forecasts: Revenue +44%, 26% YoY, EPS +61%. AI-related chip sales triple. Stock jumps ~12% in a week

October 2025

- Market cap surpasses $1.5 trillion, cementing TSMC as one of the world's most valuable tech companies

Price History



Sources: Company Reports, Bloomberg

Comparable Analysis

In millions of $USD

Public Comparables Analysis						
Name	**Ticker**	**Market Cap**	**TTM Total Revenue**	**Growth**	**P / E**	**EV / EBITDA**
NVIDIA	NVDA	4,600,000.00	165,218.00	114.2%	31.8x	39.7x
AMD	AMD	421,371.36	29,600.00	13.7%	41.9x	42.4x
ASML Holdings	ASML	414,527.08	35,527.81	2.6%	35.4x	28.6x
Intel	INTC	188,257,000.00	53,439.00	-2.1%	68.1x	60.4x
Qualcomm	QCOM	194,996.88	43,257.00	8.8%	14.9x	17.4x
Broadcom	AVGO	1,712,093.44	59,926.00	44.0%	38.4x	39.9x
Taiwan Semiconductors Manufacturing Company	**TSM**	**1,266,791.73**	**115,242.20**	**33.9%**	**19.8x**	**15.0x**
25th Percentile		416,238.15	37,460.11	0.04	32.73	31.37
Median		1,066,732.40	48,348.00	0.11	36.91	39.83
75th Percentile		3,878,023.36	58,304.25	0.36	41.01	41.75
25th Percentile					**$ 285.71**	**$ 383.58**
Median Implied Price					**$ 322.22**	**$ 484.79**
75th Percentile					**$ 358.02**	**$ 507.78**

Comparable Analysis Cont'd

NVIDIA	The global leader in graphics processing units and the backbone of the AI and data center revolution, with its CUDA software ecosystem creating a powerful competitive moat. Its GPUs dominate training and inference workloads for generative AI, cloud computing, and high-performance computing.	NVIDIA's AI-driven growth trajectory and reliance on advanced foundry partners like TSMC make it a direct comp, highlighting the demand pull for cutting-edge nodes and the strategic importance of semiconductor manufacturing capacity.
AMD	Advanced Micro Devices (AMD) designs CPUs, GPUs, and AI accelerators, competing directly with both Intel in processors and NVIDIA in GPUs. Its EPYC server chips and MI-series GPUs are gaining traction in hyperscale data centers and AI workloads.	AMD's fabless model and dependence on TSMC for leading-edge manufacturing mirror the foundry relationship dynamics, making it a relevant comp for understanding customer concentration and AI-driven demand.
ASML	ASML is the sole supplier of extreme ultraviolet (EUV) lithography machines, which are essential for producing advanced semiconductor nodes (3nm, 2nm, and beyond). Its monopoly position makes it the most critical upstream equipment provider in the chip supply chain.	ASML's technology bottleneck role complements TSMC's foundry dominance, showing how control of advanced manufacturing tools underpins the entire industry's competitive landscape.

Comparable Analysis Cont'd

intel	Intel is a historic integrated device manufacturer that both designs and fabricates chips. It is investing heavily in Intel Foundry Services (IFS) to compete directly with TSMC and Samsung in contract manufacturing, while also pushing its own CPUs and AI accelerators.	Intel's dual role as competitor and customer makes it a strategic comp, highlighting the risks and opportunities of vertical integration versus TSMC's pure-play foundry model.
Qualcomm	Qualcomm is the global leader in mobile processors and wireless connectivity solutions, with its Snapdragon platform powering the majority of premium smartphones. Recently, it has expanded into AI accelerators and automotive chips.	Qualcomm's fabless structure and reliance on TSMC for advanced nodes illustrate the breadth of TSMC's customer base, from mobile to AI, and the importance of foundry partnerships in enabling product roadmaps.
BROADCOM	Broadcom is a diversified semiconductor and infrastructure software company, being a key supplier to hyperscalers and enterprise customers, and having aggressively expanded into AI networking chips.	Broadcom's scale, diversification, and reliance on foundry partners make it a relevant comp, showing how TSMC enables not just compute leaders but also the networking backbone of AI and cloud infrastructure.

Recommendation

I recommend purchasing 34 shares of TSMC at the market price of $294.05

Thesis

TSMC is the world's leading semiconductor foundry, manufacturing advanced chips that power AI, smartphones, data centers, and automotive technologies. With customers like Apple, NVIDIA, and AMD, the company benefits from strong, recurring demand and long-term partnerships. Its leadership in next-generation nodes such as 2nm and strategic global expansion strengthen both its innovation edge and supply-chain resilience. Supported by rising AI-driven demand and strong financial growth, I believe now is the right time to own TSMC.

Proposal

Buy: 34 shares
Total value: $9,997.7

Sector Weight: 3%
Overall Portfolio Weight: 0.8%

Questions?